What is Cash Flow

A Statement of Cash Flows explains how a company's cash and cash equivalents moved from the start of the year to the end. Under Ind AS 7 (and AS 3 for companies not on Ind AS), every cash flow is classified into one of three activities. The exercises in this workbook follow the conventions below unless a case says otherwise.

Activity	Typical inflows	Typical outflows
Operating – principal revenue-producing activities	Receipts from customers; royalties and fees; tax refunds	Payments to suppliers and employees; operating expenses; income tax paid
Investing – acquisition and disposal of long-term assets and investments	Sale of PPE and intangibles; sale of investments; interest and dividend received*	Purchase of PPE (including CWIP) and intangibles; purchase of investments; deposits over 3 months
Financing – changes in size and composition of equity and borrowings	Issue of shares and debentures; loans raised	Repayment of loans; redemption of debentures; buy-back; dividends paid; interest paid*; lease payments

*For a non-financial company, this workbook treats interest and dividends received as investing, and interest and dividends paid as financing. This is the classification AS 3 requires and the one most Indian companies adopt under Ind AS 7. For banks and NBFCs, interest is operating.

Indirect method – format for operating activities

Particulars	₹ crore	₹ crore
Profit before tax		xxx
Adjustments for:		
Add: Depreciation and amortisation	xxx	
Add: Finance costs	xxx	
Add: Loss on sale of PPE / Less: Profit on sale of PPE	xxx	
Less: Interest income, dividend income, profit on sale of investments	(xxx)	
Operating profit before working capital changes		**xxx**
Increase in current assets (inventories, receivables, prepaid)	(xxx)	
Decrease in current assets	xxx	
Increase in current liabilities (payables, outstanding expenses, provisions)	xxx	
Decrease in current liabilities	(xxx)	
Cash generated from operations		**xxx**
Less: Income taxes paid (net of refunds)		(xxx)
Net cash from operating activities		**xxx**

Rules of thumb

- **Cash and cash equivalents** include cash, bank balances and investments maturing within 3 months of acquisition. Bank deposits with a longer original maturity are shown under investing activities.
- **Tax paid** = tax expense + opening tax liability – closing tax liability (reverse the signs if the balance is an asset).

- **Interest paid** = finance cost + opening interest accrued – closing interest accrued. Interest received works the same way with interest receivable.
- **Purchase of PPE** is usually the balancing figure: closing PPE – opening PPE + cost (or WDV) of assets sold, plus depreciation when PPE is shown net.
- **Non-cash transactions** – bonus shares, conversion of debentures into shares, assets acquired against shares, new leases recognised as right-of-use assets – are excluded from the statement and disclosed separately.
- **Check your answer:** opening cash + net change (A + B + C) must equal closing cash in the balance sheet.

About the company names

Real Indian company names are used so the cases feel familiar. All figures are hypothetical and simplified for teaching; they do not represent the actual reported financials of any company. Ignore deferred tax unless a case says otherwise.

Part A — Cash flow from operating activities

Warm-up — Godrej Consumer Products Ltd: classify the transaction

Topic: Classification of cash flows **Level:** Foundation **Amounts:** ₹ crore

Godrej Consumer Products Ltd (GCPL) makes household insecticides, soaps and hair colour. Its accounts assistant has listed the following transactions for FY 2025-26. Classify each as an operating, investing or financing cash flow, or state that it does not appear in the cash flow statement.

No.	Transaction	Your answer
1	Cash received from distributors for soaps and hair colour	
2	Salaries paid to factory staff at the Malanpur plant	
3	Purchase of a new filling line for the Guwahati plant	
4	Proceeds from issue of commercial paper (short-term borrowing)	
5	Interest paid on a term loan	
6	Interest received on fixed deposits	
7	Final dividend paid to shareholders	
8	Income tax paid for the year	
9	Purchase of equity shares of another listed company	
10	Issue of fully paid bonus shares	
11	Purchase of a 60-day treasury bill	
12	Principal portion of lease payments for warehouses	
13	Depreciation charged on plant and machinery	
14	Sale proceeds of an old delivery van	
15	Royalty paid for use of a licensed brand	

Case 1 — Hindustan Unilever Ltd: cash from operations, the basic indirect method

Topic: Operating activities – indirect method **Level:** Basic **Amounts:** ₹ crore

Hindustan Unilever Ltd (HUL), the FMCG company behind brands such as Surf Excel, Lifebuoy and Brooke Bond, reported a healthy profit for FY 2025-26. The CFO wants to know how much of that profit actually turned into cash. The finance team has extracted the following:

- Net profit before tax: ₹2,480 crore
- Depreciation charged: ₹310 crore
- Income tax paid during the year: ₹640 crore

Working capital item	31 Mar 2025	31 Mar 2026
Inventories	1,150	1,280
Trade receivables	860	790
Prepaid expenses	45	60
Trade payables	1,420	1,510
Outstanding expenses	120	140

Required: Prepare the cash flow from operating activities for FY 2025-26 using the indirect method.

Case 2 — Asian Paints Ltd: adjusting for non-cash and non-operating items

Topic: Operating activities – indirect method **Level:** Basic to intermediate **Amounts:** ₹ crore

Asian Paints Ltd, India's largest decorative paints company, published a profit after tax of ₹3,150 crore for FY 2025-26. The profit includes several items that are either non-cash or belong to investing and financing activities. Details:

- Tax expense (current tax) for the year: ₹1,060 crore; income tax actually paid: ₹1,010 crore
- Depreciation: ₹850 crore
- Amortisation of intangible assets: ₹40 crore
- Loss on sale of machinery: ₹18 crore
- Profit on sale of investments: ₹35 crore
- Finance costs: ₹95 crore
- Interest income: ₹120 crore
- Dividend income: ₹25 crore

Working capital item	31 Mar 2025	31 Mar 2026
Inventories	5,600	6,050
Trade receivables	3,200	3,450
Trade payables	3,900	4,120
Other current liabilities	780	720
Short-term provisions (employee benefits)	140	165

Required: Compute the net cash from operating activities.

Case 3 — Dabur India Ltd: the direct method

Topic: Operating activities – direct method, with indirect cross-check **Level:** Intermediate **Amounts:** ₹ crore

Dabur India Ltd, the Ayurvedic and natural consumer products company known for Dabur Chyawanprash, Real juices and Vatika, wants to present its operating cash flow using the direct method. Extracts for FY 2025-26:

Profit and loss item	FY 2025-26
Revenue from operations (all on credit)	12,400
Cost of materials consumed	6,100
Employee benefits expense	1,150
Other expenses	2,050
Depreciation	380
Tax expense	760

Balance sheet item	31 Mar 2025	31 Mar 2026
Trade receivables	1,050	1,180
Inventories (raw and packing materials)	920	1,010
Trade payables (for materials)	1,340	1,260
Salaries payable	60	75
Prepaid expenses	30	42
Current tax liabilities	85	110

Required: (a) Prepare the cash flow from operating activities using the indirect method.

Case 4 — Titan Company Ltd: working back to profit before tax

Topic: Operating activities – deriving PAT and tax from balance sheet movements **Level:** Intermediate **Amounts:** ₹ crore

Titan Company Ltd runs the Tanishq jewellery, Titan watches and eyewear businesses. Its profit and loss statement for FY 2025-26 is not available, but the following balance sheet and other information is:

Item	31 Mar 2025	31 Mar 2026
Retained earnings (surplus in profit and loss)	8,400	9,350
Provision for tax (current tax liability)	210	260
Inventories (largely gold and jewellery)	11,200	12,600
Trade receivables	450	520
Trade payables	1,900	2,350
Advances from customers (jewellery purchase schemes)	1,350	1,600

- Final dividend of ₹980 crore for FY 2024-25 was paid during the year, and ₹300 crore was transferred to general reserve.
- Income tax paid during the year: ₹690 crore.
- Depreciation ₹260 crore; finance costs ₹140 crore; interest income ₹85 crore; profit on sale of a showroom fixture ₹12 crore.

Required: (a) Find the profit after tax, tax expense and profit before tax. (b) Prepare the cash flow from operating activities.

Part B — Cash flow from investing activities

Case 5 — Larsen & Toubro Ltd: PPE, accumulated depreciation and CWIP

Topic: Investing activities – reconstructing PPE accounts **Level:** Basic to intermediate **Amounts:** ₹ crore

Larsen & Toubro Ltd (L&T), the engineering and construction group, invests heavily in heavy-fabrication yards and construction equipment. Extracts from its balance sheet:

Item	31 Mar 2025	31 Mar 2026
Property, plant and equipment – gross block (at cost)	18,500	20,900
Accumulated depreciation	6,200	7,050
Capital work-in-progress (CWIP)	1,100	1,450

- During the year a crawler crane costing ₹900 crore (accumulated depreciation ₹640 crore) was sold for ₹230 crore.
- Assets of ₹600 crore were completed and capitalised from CWIP into PPE.
- All other additions to PPE and CWIP were paid in cash.

Required: (a) Depreciation for the year. (b) Profit or loss on sale of the crane. (c) Cash paid for PPE and CWIP. (d) Net cash flow from investing activities.

Case 6 — Tata Motors Ltd: investments, interest and dividends

Topic: Investing activities – investments and investment income **Level:** Intermediate **Amounts:** ₹ crore

Tata Motors Ltd parks surplus funds in long-term strategic investments, liquid mutual funds and bank deposits. Extracts for FY 2025-26:

Item	31 Mar 2025	31 Mar 2026
Non-current investments (at cost)	4,200	4,850
Current investments – mutual funds (not cash equivalents)	1,600	1,250
Interest accrued on deposits and bonds	35	50
Fixed deposits with original maturity over 3 months	900	600

- Non-current investments costing ₹700 crore were sold for ₹820 crore.
- Mutual fund units of ₹3,400 crore were bought during the year; units sold realised ₹3,810 crore.
- Interest income for the year ₹210 crore; dividend income ₹90 crore (fully received).

Required: Compute the profit on sale of each class of investment and prepare the cash flow from investing activities.

Case 7 — Infosys Ltd: net block, software and subsidiaries

Topic: Investing activities – PPE at net book value, intangibles **Level:** Intermediate **Amounts:** ₹ crore

Infosys Ltd, the IT services company, is expanding its development centres and buying software platforms. Standalone extracts for FY 2025-26:

Item	31 Mar 2025	31 Mar 2026
Property, plant and equipment (net of depreciation)	13,200	14,050
Intangible assets – software (net of amortisation)	1,050	1,240
Investment in subsidiaries (at cost)	2,500	3,100
Bank deposits with original maturity over 3 months	5,400	6,900

- Depreciation on PPE ₹2,350 crore; amortisation of software ₹260 crore.
- Computers with a written-down value of ₹180 crore were sold for ₹150 crore.
- No subsidiary was sold. Interest received on deposits ₹1,140 crore; dividends received from subsidiaries ₹720 crore.

Required: Prepare the cash flow from investing activities and state the profit or loss on sale of computers.

Part C — Cash flow from financing activities

Case 8 — Reliance Industries Ltd: shares, debentures and loans

Topic: Financing activities – equity, debt and interest **Level:** Basic to intermediate **Amounts:** ₹ crore

Reliance Industries Ltd is funding its new-energy projects through a mix of equity and debt. Extracts for FY 2025-26:

Item	31 Mar 2025	31 Mar 2026
Equity share capital (₹10 per share)	6,770	7,100
Securities premium	12,000	13,575
Debentures	9,000	7,500
Long-term loans	25,000	28,400
Interest accrued but not due on borrowings	310	260

- 33 crore equity shares of ₹10 each were issued for cash at ₹60 per share.
- Debentures were redeemed at a premium of 5%; the premium was written off against securities premium.
- Fresh long-term loans of ₹6,000 crore were raised; the rest of the movement is repayment.
- Finance costs in profit and loss: ₹2,950 crore.
- A dividend of ₹9 per share on 677 crore shares was paid for FY 2024-25.

Required: Prepare the cash flow from financing activities.

Case 9 — Wipro Ltd: buy-back, bonus issue and dividends

Topic: Financing activities – distinguishing cash from non-cash equity changes **Level:** Intermediate **Amounts:** ₹ crore

Wipro Ltd, the IT services company, returned surplus cash to shareholders in FY 2025-26. Extracts:

Item	31 Mar 2025	31 Mar 2026
Equity share capital (₹2 per share)	1,045	1,990
Capital redemption reserve	–	50
Short-term borrowings	7,200	6,350
Interest accrued on borrowings	45	65

- In June 2025, 25 crore shares were bought back at ₹480 per share out of free reserves; a capital redemption reserve equal to the face value was created.
- After the buy-back, bonus shares were issued in the ratio 1:1 by capitalising retained earnings.
- Final dividend for FY 2024-25 paid: ₹520 crore. Interim dividend for FY 2025-26 paid: ₹2,600 crore.
- Finance costs: ₹1,150 crore. Short-term borrowings movement is a net repayment. Ignore tax on buy-back.

Required: (a) Prepare the cash flow from financing activities. (b) Which equity changes are non-cash, and how are they disclosed?

Case 10 — Adani Ports and SEZ Ltd: borrowings, current maturities and leases

Topic: Financing activities – Ind AS 116 leases and current maturities **Level:** Intermediate to advanced **Amounts:** ₹ crore

Adani Ports and Special Economic Zone Ltd operates ports and logistics parks and leases land and equipment. Extracts for FY 2025-26:

Item	31 Mar 2025	31 Mar 2026
Non-current borrowings	38,000	41,500
Current maturities of long-term borrowings	3,200	4,100
Lease liabilities (total)	1,800	2,050
Interest accrued on borrowings	420	510

- New long-term loans of ₹9,000 crore were raised during the year.
- New leases of port equipment were recognised: right-of-use asset and lease liability of ₹520 crore.
- Finance costs of ₹3,060 crore include interest on lease liabilities of ₹160 crore.
- Equity shares were issued on a preferential basis for ₹4,000 crore cash.
- Dividend of ₹7 per share on 216 crore shares was paid.

Required: Prepare the cash flow from financing activities and identify any non-cash transaction.

Part D — Comprehensive cases

Each case gives two years of balance sheets and profit and loss statements. Prepare the full Statement of Cash Flows for FY 2025-26. The cases get progressively harder; Case 18 uses every adjustment in the workbook.

Case 11 — Nestlé India Ltd: a first full statement

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – basic **Amounts:** ₹ crore

Nestlé India Ltd makes Maggi noodles, Nescafé coffee and KitKat chocolates. It has no borrowings and pays out most of its profit as dividend. Its summarised financial statements are given below.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment (net)	4,090	3,600
Current assets		
Inventories	1,180	1,050
Trade receivables	270	240
Cash and cash equivalents	796	820
Other current assets (prepaid and advances)	125	110
Total assets	**6,461**	**5,820**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	96	96
Retained earnings	3,550	3,154
Non-current liabilities		
Current liabilities		
Trade payables	2,030	1,850
Other current liabilities	450	420
Short-term provisions (employee benefits)	175	160
Current tax liabilities (net)	160	140
Total equity and liabilities	**6,461**	**5,820**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	20,200	18,180
Profit on sale of PPE	6	–
Total income	**20,206**	**18,180**
Expenses		
Cost of materials consumed	9,700	8,730
Employee benefits expense	1,900	1,710
Depreciation and amortisation expense	520	470
Other expenses	4,200	3,780
Total expenses	**16,320**	**14,690**
Profit before tax	**3,886**	**3,490**
Tax expense (current tax)	990	890
Profit for the year	**2,896**	**2,600**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹520 crore.
- PPE with a written-down value of ₹40 crore was sold for ₹46 crore.
- Final dividend of ₹2,500 crore for FY 2024-25 was paid during the year.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 12 — ITC Ltd: investments, deposits and investment income

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – basic to intermediate **Amounts:** ₹ crore

ITC Ltd is a diversified group with cigarettes, FMCG foods, hotels, paperboards and agri-businesses. It holds a large treasury portfolio and earns substantial interest and dividend income.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment (net)	28,430	26,500
Non-current investments	34,800	32,000
Current assets		
Inventories	12,600	11,800
Trade receivables	3,450	3,100
Cash and cash equivalents	765	900
Other bank balances (deposits > 3 months)	7,500	6,500
Interest accrued (receivable)	380	320
Other current assets (prepaid and advances)	2,050	1,900
Total assets	**89,975**	**83,020**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	1,250	1,250
General reserve	8,000	8,000
Retained earnings	71,545	65,420
Non-current liabilities		
Current liabilities		
Trade payables	5,100	4,600
Other current liabilities	3,050	2,800
Short-term provisions (employee benefits)	330	300
Current tax liabilities (net)	700	650
Total equity and liabilities	**89,975**	**83,020**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	76,000	68,400
Interest income	2,100	1,890
Dividend income	900	810
Profit on sale of investments	450	–

Particulars	FY 2025-26	FY 2024-25
Total income	**79,450**	**71,100**
Expenses		
Cost of materials consumed	34,500	31,050
Employee benefits expense	4,800	4,320
Depreciation and amortisation expense	1,850	1,660
Other expenses	10,625	9,560
Total expenses	**51,775**	**46,590**
Profit before tax	**27,675**	**24,510**
Tax expense (current tax)	6,950	6,160
Profit for the year	**20,725**	**18,350**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹1,850 crore.
- PPE with a written-down value of ₹120 crore was sold for ₹95 crore. The loss on sale is included in other expenses.
- Investments costing ₹4,000 crore were sold for ₹4,450 crore. All other movement in investments represents purchases.
- Final dividend of ₹14,600 crore for FY 2024-25 was paid during the year.
- Other bank balances are fixed deposits with an original maturity of more than three months; they are not cash equivalents.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 13 — Pidilite Industries Ltd: gross block, CWIP and loans

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – intermediate **Amounts:** ₹ crore

Pidilite Industries Ltd, the maker of Fevicol, Dr. Fixit and M-Seal, is adding capacity for construction chemicals. It finances part of the expansion with term loans.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	4,460	3,900
Less: Accumulated depreciation	(1,675)	(1,450)
Capital work-in-progress	330	260
Non-current investments	1,350	1,100
Current assets		
Inventories	1,900	1,750
Trade receivables	1,420	1,320
Cash and cash equivalents	458	480
Other current assets (prepaid and advances)	235	210
Total assets	**8,478**	**7,570**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	51	51
General reserve	1,400	1,200
Retained earnings	5,028	4,321
Non-current liabilities		
Long-term borrowings	250	400
Current liabilities		
Trade payables	1,160	1,050
Other current liabilities	400	380
Interest accrued on borrowings	6	8
Short-term provisions (employee benefits)	98	90
Current tax liabilities (net)	85	70
Total equity and liabilities	**8,478**	**7,570**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	13,400	12,060
Dividend income	45	40
Profit on sale of PPE	17	–
Total income	**13,462**	**12,100**
Expenses		
Cost of materials consumed	6,700	6,030
Employee benefits expense	1,550	1,400
Finance costs	55	50
Depreciation and amortisation expense	330	300
Other expenses	2,250	2,020
Total expenses	**10,885**	**9,800**
Profit before tax	**2,577**	**2,300**
Tax expense (current tax)	650	580
Profit for the year	**1,927**	**1,720**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹330 crore.
- An item of PPE costing ₹140 crore (accumulated depreciation ₹105 crore) was sold for ₹52 crore.
- Assets of ₹220 crore were completed and transferred from capital work-in-progress to PPE.
- ₹200 crore was transferred from retained earnings to general reserve.
- New long-term loans of ₹150 crore were raised and loans of ₹300 crore were repaid.
- The only other movement in retained earnings is the final dividend for FY 2024-25 paid during the year.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 14 — UltraTech Cement Ltd: heavy capex funded by debt

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – intermediate **Amounts:** ₹ crore

UltraTech Cement Ltd, India's largest cement maker, is commissioning new grinding units across the country. The expansion is funded by internal accruals, sale of treasury investments and fresh loans.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	79,400	72,000
Less: Accumulated depreciation	(23,350)	(21,000)
Capital work-in-progress	7,600	6,200
Intangible assets	1,850	1,900
Non-current investments	7,300	8,500
Current assets		
Inventories	7,100	6,300
Trade receivables	4,650	4,100
Cash and cash equivalents	770	650
Interest accrued (receivable)	110	90
Other current assets (prepaid and advances)	2,550	2,400
Total assets	**87,980**	**81,140**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	289	289
Securities premium	5,400	5,400
General reserve	6,500	6,500
Retained earnings	56,891	52,371
Non-current liabilities		
Long-term borrowings	9,200	7,800
Current liabilities		
Trade payables	5,600	4,900
Other current liabilities	3,350	3,100
Interest accrued on borrowings	140	120
Short-term provisions (employee benefits)	230	210
Current tax liabilities (net)	380	450
Total equity and liabilities	**87,980**	**81,140**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	76,000	68,400
Interest income	520	470
Profit on sale of investments	280	–
Total income	**76,800**	**68,870**
Expenses		
Cost of materials, power and fuel	41,000	36,900
Employee benefits expense	3,900	3,510
Finance costs	1,050	940
Depreciation and amortisation expense	3,410	3,070
Freight and other expenses	16,870	15,180
Total expenses	**66,230**	**59,600**
Profit before tax	**10,570**	**9,270**
Tax expense (current tax)	2,700	2,370
Profit for the year	**7,870**	**6,900**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹3,300 crore; intangible assets ₹110 crore.
- An item of PPE costing ₹1,200 crore (accumulated depreciation ₹950 crore) was sold for ₹180 crore. The loss on sale is included in freight and other expenses.
- Assets of ₹7,500 crore were completed and transferred from capital work-in-progress to PPE.
- Investments costing ₹4,200 crore were sold for ₹4,480 crore. All other movement in investments represents purchases.
- New long-term loans of ₹4,000 crore were raised; the balance of the movement represents repayments.
- Final dividend of ₹3,350 crore for FY 2024-25 was paid during the year.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 15 — Sun Pharmaceutical Industries Ltd: acquired brands, ESOPs and debt repayment

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – intermediate **Amounts:** ₹ crore

Sun Pharmaceutical Industries Ltd, India's largest pharmaceutical company, acquired product licences, allotted shares to employees under its ESOP scheme and repaid all its borrowings during FY 2025-26.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	15,300	14,500
Less: Accumulated depreciation	(7,440)	(6,800)
Capital work-in-progress	1,250	1,100
Intangible assets	5,520	4,300
Non-current investments	12,700	12,000
Current assets		
Inventories	5,700	5,200
Trade receivables	6,400	5,800
Cash and cash equivalents	1,190	700
Other bank balances (deposits > 3 months)	2,000	3,000
Interest accrued (receivable)	160	140
Other current assets (prepaid and advances)	1,650	1,500
Total assets	**44,430**	**41,440**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	242	240
Securities premium	1,918	1,800
General reserve	9,000	9,000
Retained earnings	27,115	23,545
Non-current liabilities		
Long-term borrowings	–	1,200
Current liabilities		
Trade payables	3,750	3,400
Other current liabilities	1,700	1,600
Interest accrued on borrowings	–	15
Short-term provisions (employee benefits)	285	260
Current tax liabilities (net)	420	380
Total equity and liabilities	**44,430**	**41,440**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	31,000	27,900
Interest income	820	740
Dividend income	350	320
Profit on sale of investments	210	–
Profit on sale of PPE	30	–
Total income	**32,410**	**28,960**
Expenses		
Cost of materials consumed	8,900	8,010
Employee benefits expense	4,700	4,230
Finance costs	60	50
Depreciation and amortisation expense	1,280	1,150
Other expenses	8,600	7,740
Total expenses	**23,540**	**21,180**
Profit before tax	**8,870**	**7,780**
Tax expense (current tax)	1,700	1,490
Profit for the year	**7,170**	**6,290**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹900 crore; intangible assets ₹380 crore.
- An item of PPE costing ₹300 crore (accumulated depreciation ₹260 crore) was sold for ₹70 crore.
- Assets of ₹650 crore were completed and transferred from capital work-in-progress to PPE.
- Investments costing ₹1,800 crore were sold for ₹2,010 crore. All other movement in investments represents purchases.
- Equity shares of face value ₹2 crore were issued for cash at a premium of ₹118 crore.
- The movement in borrowings represents repayment.
- The only other movement in retained earnings is the final dividend for FY 2024-25 paid during the year.
- Other bank balances are fixed deposits with an original maturity of more than three months; they are not cash equivalents.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 16 — Mahindra & Mahindra Ltd: debentures, bonus issue and reserves

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – advanced **Amounts:** ₹ crore

Mahindra & Mahindra Ltd (M&M), the SUV and tractor maker, refinanced part of its debt through new debentures and rewarded shareholders with a 1:1 bonus issue during FY 2025-26.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	30,200	28,000
Less: Accumulated depreciation	(14,240)	(12,500)
Capital work-in-progress	3,200	2,600
Intangible assets	3,350	2,900
Non-current investments	27,700	24,000
Current assets		
Inventories	11,200	9,800
Trade receivables	6,300	5,600
Cash and cash equivalents	1,585	1,800
Other bank balances (deposits > 3 months)	2,200	1,500
Interest accrued (receivable)	80	60
Other current assets (prepaid and advances)	3,500	3,200
Total assets	**75,075**	**66,960**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	1,240	620
Securities premium	2,100	2,100
General reserve	14,380	14,000
Retained earnings	28,680	23,560
Non-current liabilities		
Long-term borrowings	1,800	2,400
Debentures	3,500	3,000
Current liabilities		
Trade payables	16,800	15,200
Other current liabilities	5,300	4,800
Interest accrued on borrowings	95	110
Short-term provisions (employee benefits)	700	650
Current tax liabilities (net)	480	520
Total equity and liabilities	**75,075**	**66,960**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	1,12,000	1,00,800
Interest income	380	340
Dividend income	1,450	1,300
Profit on sale of investments	480	–
Total income	**1,14,310**	**1,02,440**
Expenses		
Cost of materials consumed and goods traded	82,000	73,800
Employee benefits expense	4,900	4,410
Finance costs	320	290
Depreciation and amortisation expense	3,150	2,840
Other expenses	11,820	10,640
Total expenses	**1,02,190**	**91,980**
Profit before tax	**12,120**	**10,460**
Tax expense (current tax)	3,400	2,930
Profit for the year	**8,720**	**7,530**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹2,500 crore; intangible assets ₹650 crore.
- An item of PPE costing ₹900 crore (accumulated depreciation ₹760 crore) was sold for ₹120 crore. The loss on sale is included in other expenses.
- Assets of ₹2,300 crore were completed and transferred from capital work-in-progress to PPE.
- Investments costing ₹1,500 crore were sold for ₹1,980 crore. All other movement in investments represents purchases.
- Bonus shares of ₹620 crore were issued by capitalising general reserve.
- ₹1,000 crore was transferred from retained earnings to general reserve.
- Debentures of ₹2,000 crore were issued for cash and debentures of ₹1,500 crore were redeemed at par.
- New long-term loans of ₹500 crore were raised; the balance of the movement represents repayments.
- The only other movement in retained earnings is the final dividend for FY 2024-25 paid during the year.
- Other bank balances are fixed deposits with an original maturity of more than three months; they are not cash equivalents.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 17 — Bharti Airtel Ltd: spectrum, leases and refinancing

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – advanced **Amounts:** ₹ crore

Bharti Airtel Ltd, the telecom operator, bought additional spectrum, rolled out 5G sites on leased towers and raised equity through a rights issue while refinancing its loans. Telecom companies carry large lease liabilities under Ind AS 116.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	1,53,000	1,40,000
Less: Accumulated depreciation	(75,800)	(62,000)
Right-of-use assets	9,200	8,600
Capital work-in-progress	7,000	5,500
Intangible assets	1,00,200	98,000
Non-current investments	30,000	30,000
Current assets		
Inventories	45	50
Trade receivables	4,600	4,200
Cash and cash equivalents	2,645	2,400
Other current assets (prepaid and advances)	10,200	9,500
Total assets	**2,41,090**	**2,36,250**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	3,000	2,900
Securities premium	34,900	30,000
Retained earnings	76,160	69,750
Non-current liabilities		
Long-term borrowings	75,000	85,000
Lease liabilities	10,000	9,800
Current liabilities		
Trade payables	26,500	24,000
Other current liabilities	12,800	12,000
Interest accrued on borrowings	1,750	1,900
Short-term provisions (employee benefits)	330	300
Current tax liabilities (net)	650	600
Total equity and liabilities	**2,41,090**	**2,36,250**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	1,05,000	94,500
Interest income	450	400
Total income	**1,05,450**	**94,900**
Expenses		
Network operating and access charges	38,000	34,200
Employee benefits expense	3,200	2,880
Finance costs	8,500	7,650
Depreciation and amortisation expense	27,000	24,300
Licence fees and other expenses	14,040	12,640
Total expenses	**90,740**	**81,670**
Profit before tax	**14,710**	**13,230**
Tax expense (current tax)	3,500	3,150
Profit for the year	**11,210**	**10,080**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹15,500 crore; right-of-use assets ₹1,700 crore; intangible assets ₹9,800 crore.
- An item of PPE costing ₹2,000 crore (accumulated depreciation ₹1,700 crore) was sold for ₹260 crore. The loss on sale is included in licence fees and other expenses.
- Assets of ₹9,000 crore were completed and transferred from capital work-in-progress to PPE.
- Equity shares of face value ₹100 crore were issued for cash at a premium of ₹4,900 crore.
- New long-term loans of ₹20,000 crore were raised; the balance of the movement represents repayments.
- New leases were recognised during the year, adding ₹2,300 crore to both right-of-use assets and lease liabilities.
- Finance costs include interest on lease liabilities of ₹900 crore; the balance is interest on borrowings.
- Final dividend of ₹4,800 crore for FY 2024-25 was paid during the year.
- Tax expense is current tax only; ignore deferred tax.
- Intangible assets are mainly spectrum licences; the additions during the year were paid in cash.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.

Case 18 — Tata Steel Ltd: the full works

Topic: Comprehensive – full statement of cash flows **Level:** Comprehensive – advanced **Amounts:** ₹ crore

Tata Steel Ltd is expanding its Kalinganagar plant. During FY 2025-26 it sold part of its investment portfolio, redeemed debentures, took on new leases for raw-material handling equipment and refinanced its term loans. This case brings together every adjustment covered in the workbook.

Balance sheet as at 31 March (₹ crore)

Particulars	31 Mar 2026	31 Mar 2025
ASSETS		
Non-current assets		
Property, plant and equipment – at cost	1,62,000	1,52,000
Less: Accumulated depreciation	(61,500)	(58,000)
Right-of-use assets	3,600	3,300
Capital work-in-progress	16,000	14,500
Intangible assets	1,900	1,800
Non-current investments	46,800	48,000
Current assets		
Inventories	25,800	24,000
Trade receivables	4,300	3,800
Cash and cash equivalents	3,960	3,100
Other bank balances (deposits > 3 months)	1,400	2,200
Interest accrued (receivable)	260	210
Other current assets (prepaid and advances)	7,300	6,800
Total assets	**2,11,820**	**2,01,710**
EQUITY AND LIABILITIES		
Equity		
Equity share capital	1,250	1,250
Securities premium	31,000	31,000
General reserve	23,500	22,000
Retained earnings	89,860	79,510
Non-current liabilities		
Long-term borrowings	19,000	21,000
Debentures	6,000	8,000
Lease liabilities	3,700	3,600
Current liabilities		
Trade payables	25,100	23,500
Other current liabilities	9,900	9,200
Interest accrued on borrowings	600	650
Short-term provisions (employee benefits)	960	900
Current tax liabilities (net)	950	1,100

Particulars	31 Mar 2026	31 Mar 2025
Total equity and liabilities	**2,11,820**	**2,01,710**

Statement of profit and loss for the year ended 31 March (₹ crore)

Particulars	FY 2025-26	FY 2024-25
Income		
Revenue from operations	1,38,000	1,24,200
Interest income	900	810
Dividend income	650	580
Profit on sale of investments	420	–
Total income	**1,39,970**	**1,25,590**
Expenses		
Cost of materials consumed	62,000	55,800
Employee benefits expense	6,800	6,120
Finance costs	3,100	2,790
Depreciation and amortisation expense	6,350	5,720
Power, freight and other expenses	41,070	36,960
Total expenses	**1,19,320**	**1,07,390**
Profit before tax	**20,650**	**18,200**
Tax expense (current tax)	4,300	3,790
Profit for the year	**16,350**	**14,410**

Additional information for FY 2025-26

- Depreciation and amortisation comprises: PPE ₹5,600 crore; right-of-use assets ₹600 crore; intangible assets ₹150 crore.
- An item of PPE costing ₹2,500 crore (accumulated depreciation ₹2,100 crore) was sold for ₹330 crore. The loss on sale is included in power, freight and other expenses.
- Assets of ₹11,000 crore were completed and transferred from capital work-in-progress to PPE.
- Investments costing ₹3,000 crore were sold for ₹3,420 crore. All other movement in investments represents purchases.
- ₹1,500 crore was transferred from retained earnings to general reserve.
- Debentures of ₹0 crore were issued for cash and debentures of ₹2,000 crore were redeemed at par.
- New long-term loans of ₹6,000 crore were raised; the balance of the movement represents repayments.
- New leases were recognised during the year, adding ₹900 crore to both right-of-use assets and lease liabilities.
- Finance costs include interest on lease liabilities of ₹300 crore; the balance is interest on borrowings.
- The only other movement in retained earnings is the final dividend for FY 2024-25 paid during the year.
- Other bank balances are fixed deposits with an original maturity of more than three months; they are not cash equivalents.
- Tax expense is current tax only; ignore deferred tax.

Required: Prepare the Statement of Cash Flows for the year ended 31 March 2026 using the indirect method as per Ind AS 7, with working notes.